Company p/e ratios do not exist in a vacuum. The stock market as a whole has its own collective p/e ratio, which is a good indicator of whether the market at large is overvalued or undervalued. I know I've already advised you to ignore the market, but when you find that a few stocks are selling at inflated prices relative to earnings, it's likely that most stocks are selling at inflated prices relative to earnings. That's what happened before the big drop in 1973–74, and once again (although not to the same extent) before the big drop of 1987.

During the five years of the latest bull market, from 1982 to 1987, you could see the market's overall p/e ratio creep gradually higher, from about 8 to 16. This meant that investors in 1987 were willing to pay twice what they paid in 1982 for the same corporate earnings—which should have been a warning that most stocks were overvalued.

Interest rates have a large effect on the prevailing p/e ratios, since investors pay more for stocks when interest rates are low and bonds are less attractive. But interest rates aside, the incredible optimism that develops in bull markets can drive p/e ratios to ridiculous levels, as it did in the cases of EDS, Avon, and Polaroid. In that period, the fast growers commanded p/e ratios that belonged somewhere in Wonderland, the slow growers were commanding p/e ratios normally reserved for fast growers, and the p/e of the market itself hit a peak of 20 in 1971.

Any student of the p/e ratio could have seen that this was lunacy, and I wish one of them had told me. In 1973–74 the market had its most brutal correction since the 1930s.

FUTURE EARNINGS

Future earnings—there's the rub. How do you predict those? The best you can get from current earnings is an educated guess whether a stock is fairly priced. If you do this much, you'll never buy a Polaroid or an Avon at a 40 p/e, nor will you overpay for Bristol-Myers, Coca-Cola, or McDonald's. However, what you'd really like to know is what's going to happen to earnings in the next month, the next year, or the next decade.

Earnings, after all, are supposed to grow, and every stock price carries with it a built-in growth assumption.

Battalions of analysts and statisticians are launched against the questions of future growth and future earnings, and you can pick up the nearest financial magazine to see for yourself how often they get the wrong answer (the word most frequently seen with "earnings" is "surprise"). I'm not about to suggest that you can begin to predict earnings, or growth in earnings, successfully on your own.

Once you got into this game seriously, you'd be boggled by the examples of